Executive Summary: Q1 Market Evolution

Urban India Wellness & Healthy Food Market — Strategic Briefing

1. Research Scope & Macro Consumption Baseline

- **Core Question:** How has the urban Indian wellness and healthy-food market evolved, and what evidence indicates its development?
- **Geography:** Urban India (Metros and Tier 1 Cities).
- **Macro Consumption Context (MoSPI HCES 2023–24):**
    - Average Urban Monthly Per Capita Expenditure (MPCE): **₹6,996**
    - Urban Food Basket Share: **39.68% (~40%)**
    - Average Monthly Food Spending Context: **~₹2,776 per capita** *(Note: Macro food spend ceiling, not dedicated healthy-food spend).*

2. Key Verified Strategic Findings

1. **High Intent vs. Affordability Bottleneck: 53%** of urban grocery buyers actively take steps to improve health (NIQ 2025), but **51%** cite high price premiums as their primary barrier to adoption.
2. **Demand for Ingredient & Label Transparency: 64%** of consumers seek detailed product information, **61%** demand clearer labels (NIQ 2025), and **84%** prioritize food safety and transparency as key purchasing drivers (PwC).
3. **Incumbent FMCG & Venture Capital Deployment:**
    - **Tata Consumer Products:** 44 of 80 new launches in FY25–26 targeted wellness platforms.
    - **ITC Limited:** Initiated phased strategic acquisition of Yoga Bar (Jan 2023).
    - **Venture Scaling:** Significant Series C funding rounds for clean-label brands (The Whole Truth: $15M; Farmley: $42M).
4. **Distribution & Channel Evolution:** Modern trade and quick-commerce platforms (USDA FAS 2025) are significantly accelerating consumer trial and category discovery in urban centers.
5. **Commercial Publisher Market Size Variance:** Commercial publisher figures range from $12B to $30B+ due to definition gaps. Market momentum is verified through category shifts rather than a single headline figure.

3. Commercial Business Imperatives

- **Pricing:** Develop entry-level single-serve SKUs to mitigate price resistance.
- **Labeling:** Highlight clean-label claims front-of-pack.
- **Channel:** Prioritize quick-commerce for fast consumer trial, backed by modern trade retail placement.
- **Bridge to Q2:** Prepares context for **Question 2 (Consumer Landscape &**

Segmentation).